



Qualification Programme Examination Panelist's Report

Module 1 – Accounting (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 15 multiple choice questions. The session contained conceptual and computational typed questions covering a wide range of topics in the syllabus. The syllabus of this paper broadly related to the following topic areas:

- (a) Explaining the purpose of accounting;
- (b) Demonstrating an understanding of accounting principles;
- (c) Preparing accounting records and demonstrating management and control; and
- (d) Preparing and presenting financial statements from a trial balance or incomplete records.

The multiple choice questions in this paper can be divided into two broad categories:

- (a) Conceptual questions worth 1 mark each; and
- (b) Computational questions worth 2 marks each.

On the whole, candidates' performance in this session was satisfactory, particularly when demonstrating fundamental accounting knowledge. However, candidates should improve their performance on conceptual questions and specific topics in order to achieve better results.

Specific Comments

In general, candidates performed well on most of the questions but showed weaknesses in the following areas:

- (a) Determining factors affecting the carrying value of non-current assets;
- (b) Understanding the fundamental qualitative characteristics;
- (c) Calculating subscription fee income of non-profit making organizations, clubs, and associations; and
- (d) Determining the differences between bank account and bank statement balances.

Candidates' performance on questions related to foundational accounting knowledge was good. However, a number of candidates did not perform well in areas involving complicated computations, including the constitution of subscription fee income of non-profit making organizations, clubs, and associations. Most candidates did not take into consideration the effects on subscriptions in arrears and in advance.



In addition, some candidates failed to distinguish between balances as shown in the company's bank account and bank statement. It appears that candidates may not have sufficiently studied the syllabus in depth.

(II) Section B – Written Questions

General Comments

The written questions tested the candidates' knowledge of accounting concepts, accounting entries related to correction of errors, and inventories loss with incomplete records. In addition, candidates were required to prepare financial statements for a limited company, which was the most important part of this section. In general, candidates' performance in this section was good. However, while candidates were proficient in the calculation-type questions, some of them demonstrated weaker performance on the essay-type questions. These candidates seem to have had difficulty in providing appropriate and sufficient rationale to support their answers in the essay-type questions. With regard to calculations, candidates performed well in the preparation of financial statements for a limited company based on the trial balance provided. However, some candidates showed difficulty with questions relating to correction of errors, which are designed to test their application of foundational accounting knowledge.

Specific Comments

Question 1 – 10 Marks

This question required candidates to apply judgment and analyse two cases by identifying and explaining the appropriateness of the accounting treatments with reference to the relevant accounting assumptions/ bases/ concepts/ qualitative characteristics.

Candidates' performance on this question was unsatisfactory, and most candidates failed to correctly mention the accounting concepts and assumptions that had been violated. For case (1), a majority of candidates failed to explain the case in accordance with the true and fair view. The majority of candidates mentioned "true and correct manner" as an appropriate treatment in the case, implying that they were not familiar with this fundamental accounting basis.

For case (2), some of the candidates were able to mention the going concern assumption. However, most candidates failed to explain and apply this concept in their answers.

In addition, the majority of the candidates failed to mention the appropriateness of accounting treatments for cases (1) and (2), which was a key requirement of the question.



Question 2(a) – 17 Marks

This question required candidates to prepare a statement of profit or loss and other comprehensive income for a limited company in accordance with HKAS 1 (Revised) Presentation of Financial Statements. Candidates' performance was satisfactory. Many candidates demonstrated a good understanding of the format and presentation of this financial statement. However, some candidates were not able to:

- (a) Correctly determine the composition of cost of sales; and
- (b) Take into consideration the addition of equipment when calculating the depreciation of plant and equipment and the associated adjustment to the consultancy fee income.

Question 2(b) – 15 Marks

This question required candidates to prepare a statement of financial position for a limited company in accordance with HKAS 1 (Revised) Presentation of Financial Statements.

Candidates' performance was satisfactory as most candidates demonstrated a good understanding of the format and presentation of this financial statement. However, some candidates did not consider the revaluation of freehold land on non-current assets and revaluation reserve. In addition, many candidates failed to consider the transfer of general reserves from retained earnings.

Question 3(a) – 17 Marks

This question required candidates to prepare journal entries for correcting the errors made by the company. Candidates' performance was satisfactory for most cases, with the exception of case (5). For case (5), many candidates failed to correct the entries made on the disposal of equipment. Most of the candidates wrongly calculated the accumulated depreciation of the equipment and hence they were unable to determine the profit on disposal.

In general, most of the candidates did not understand the circumstances leading to a suspense account and hence prepared the adjusting entries without taking into consideration the effects on the suspense account. In addition, most candidates failed to correctly describe the journal entries in the narratives, and a few candidates did not prepare narratives even though they were explicitly instructed to do so by the question.

Question 3(b) – 3 Marks

This question required candidates to compute adjust profit based on the adjusting entries made in Question 3(a). Candidates performed fairly, as the majority of the candidates only adjusted the overstatement of returns inwards and bank interest expenses in the computation.



Question 4(a) – 7 Marks

This question required candidates to determine the receipts from credit customers and the balance of trade receivables based on the information provided. The question tested candidates' ability to extract sales-related information to determine the answer through incomplete records.

The candidates' performance was poor on this question. Many candidates failed to derive the receipts from credit customers with the help of bank receipts and payments information, and some candidates even failed to attempt this question. Many candidates also determined the answer using a formula instead of the "Bank" and "Trade Receivables" accounts. This indicated that they were not familiar with the necessary foundational knowledge regarding ledger accounts.

Question 4(b) – 3 Marks

This question required candidates to determine the balance of trade payables based on the information provided. The question tested candidates' ability to extract purchase-related information to determine the answer through incomplete records.

Candidates' performance was satisfactory as most of the candidates understood the compositions of trade payables balance. However, a few candidates failed to attempt this question.

Question 4(c) – 8 Marks

This question required candidates to determine the net inventory loss through an investigation on the differences between balance as shown in the books and physical count.

Candidates' performance on this question was poor. The majority of candidates did not understand the fundamental concept of mark-up and margin and failed to consider the transactions affecting the movement of inventory. Most candidates only correctly showed "Opening inventory", "Closing inventory" and "Goods received from the suppliers". Some candidates failed to attempt this question as they seemed to have lacked the confidence to answer correctly.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidates were familiar with key accounting topics, especially the preparation of financial statements for a limited company.

Candidates are advised to strengthen their understanding of fundamental accounting topics, such as accounting bases/ concepts and fundamental/ enhancing qualitative characteristics, and the preparation of adjusting journal entries with narratives.

Candidates are also advised to put more effort into special topics such as correction of errors, suspense accounts, non-profit making organizations, and bank reconciliation statements. Candidates are encouraged to improve their writing skills and to be more confident when answering essay-type questions, as these questions seek to develop their foundational knowledge for the forthcoming module examinations. These could be improved by practicing essay-type questions from the pilot paper, past examination papers or study materials. Candidates are reminded to read the questions carefully and to address the requirements of the questions. For essay-type questions, it is important to demonstrate an understanding of how the answers are structured.

On the whole, candidates are reminded to observe the marks distribution of the questions and allocate reasonable time for each question. Remember to attempt all the questions in the paper and not to spend excessive time with any particular question.